

SECTION A: TRUE OR FALSE

Write TRUE or FALSE for each statement.
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Q1. Scarcity only affects poor countries, not rich countries.

Printed: 10 Sep 2019 [1 mark]

Answer: ☐ TRUE ☒ FALSE

Q2. The Production Possibilities Frontier (PPF) shifts outwards when there is economic growth.

[1 mark]

Answer: ☐ TRUE ☒ FALSE

FINAL EXAMINATION

Q3. In a command economy, market forces of supply and demand determine prices.

[1 mark]

Answer: ☐ TRUE ☒ FALSE

Subject: Economics

Course: Econ1011

Q4. The Law of Demand states that price and quantity demanded have an inverse relationship.

[1 mark]

Year: 2019

Answer: ☐ TRUE ☒ FALSE

Duration: 120 minutes

Total Marks: 30

Q5. In the circular flow model, households produce goods and services.

[1 mark]

Answer: ☐ TRUE ☒ FALSE

Q6. GDP measures production within a country's borders, while GNP measures production by citizens.

[1 mark]

1. Write your name in the space provided.
2. Answer ALL questions in the exam booklet.
3. Use black or blue ink only.
4. Mobile phones must be switched off.
5. No calculators or electronic devices.

Q7. Inflation is a sustained DECREASE in the general price level.

[1 mark]

Answer: ☐ TRUE ☒ FALSE

Q8. Perfect competition achieves allocative efficiency ($P = MC$) in the long run.

[1 mark]

Answer: ☐ TRUE ☒ FALSE

STUDENT INFORMATION

Full Name: _____

Student ID: _____

Phone: _____

Good Luck! ■



SECTION B: MULTIPLE CHOICE

Choose the best answer. Circle A, B, C, or D.

Q9. The fundamental economic problem is:

[1.5 marks]

- ☐ Inflation
- ☐ Scarcity
- ☐ Unemployment
- ☐ Poverty

Answer: ☐ ☐ ☐ ☐

Q10. Examine the PPF diagram. Point A (on the curve) represents:

[1.5 marks]

- ☐ Inefficient (resources underutilized)
- ☐ Unattainable (beyond capacity)
- ☐ An efficient production level
- ☐ Economic recession

Answer: ☐ ☐ ☐ ☐

Q11. Opportunity cost is BEST defined as:

[1.5 marks]

- ☐ The total cost of all alternatives
- ☐ The value of the next best alternative forgone
- ☐ The money spent on a purchase
- ☐ The cost of production

Answer: ☐ ☐ ☐ ☐

Q12. In a CAPITALIST economy, basic economic questions are answered by:

[1.5 marks]

- ☐ Central government planning
- ☐ Market forces of supply and demand
- ☐ Traditional customs
- ☐ International organizations

Answer: ☐ ☐ ☐ ☐



SECTION B: MULTIPLE CHOICE (continued)

Q13. If consumer INCOME DECREASES (for a normal good), what happens to demand?

[1.5 marks]

- ☐ Demand increases (shifts right)
- ☐ Demand stays the same
- ☐ Demand decreases (shifts left)
- ☐ Quantity demanded increases

Answer: ☐ ☐ ☐ ☐

Q14. Given $Q_d = 100 - 2P$ and $Q_s = 20 + 2P$, what is the equilibrium quantity?

[1.5 marks]

- ☐ 40 units
- ☐ 60 units
- ☐ 80 units
- ☐ 100 units

Answer: ☐ ☐ ☐ ☐

Q15. When price is ABOVE equilibrium, the result is:

[1.5 marks]

- ☐ Shortage
- ☐ Surplus
- ☐ Perfect equilibrium
- ☐ Market failure

Answer: ☐ ☐ ☐ ☐

Q16. If price increases by 10% and quantity demanded decreases by 20%, demand is:

[1.5 marks]

- ☐ Inelastic ($PED < 1$)
- ☐ Unit elastic ($PED = 1$)
- ☐ Elastic ($PED > 1$)
- ☐ Perfectly inelastic

Answer: ☐ ☐ ☐ ☐



SECTION B: MULTIPLE CHOICE (continued)

Q17. A MONOPOLY is characterized by:

[1.5 marks]

- ☐ One seller, no close substitutes
- ☐ Many sellers, identical products
- ☐ Few firms, interdependence
- ☐ Many firms, differentiated products

Answer: ☐ ☐ ☐ ☐

Q18. NDP (Net Domestic Product) equals:

[1.5 marks]

- ☐ GDP + Depreciation
- ☐ GDP - Depreciation
- ☐ GDP × Depreciation
- ☐ GDP / Depreciation

Answer: ☐ ☐ ☐ ☐

Q19. The unemployment rate formula is:

[1.5 marks]

- ☐ $\text{Unemployed} / \text{Total Population} \times 100$
- ☐ $\text{Unemployment rate} = \text{Unemployed} / \text{Labor Force} \times 100$
- ☐ $\text{Employed} / \text{Labor Force} \times 100$
- ☐ $\text{Labor Force} / \text{Population} \times 100$

Answer: ☐ ☐ ☐ ☐

Q20. Examine the diagram. When AD shifts right, what type of inflation occurs?

[1.5 marks]

- ☐ Cost-push inflation
- ☐ Deflation
- ☐ Demand-pull inflation
- ☐ Stagflation

Answer: ☐ ☐ ☐ ☐



SECTION B: MULTIPLE CHOICE (continued)

Q21. A firm sells 500 units at 20 Birr. Price falls to 15 Birr, quantity rises to 700. What is PED?

[1.5 marks]

- ☐ 0.8
- ☐ 1.6
- ☐ 2.5
- ☐ 0.4

Answer: ☐ ☐ ☐ ☐

Q22. In a market economy, "consumers are kings" refers to:

[1.5 marks]

- ☐ Government control
- ☐ Consumer sovereignty
- ☐ Producer dominance
- ☐ Central planning

Answer: ☐ ☐ ☐ ☐

Q23. Government decisions about TAXATION and SPENDING are called:

[1.5 marks]

- ☐ Monetary policy
- ☐ Trade policy
- ☐ Fiscal policy
- ☐ Industrial policy

Answer: ☐ ☐ ☐ ☐

Q24. Monetary policy in Ethiopia is conducted by:

[1.5 marks]

- ☐ Central bank (NBE)
- ☐ Ministry of Finance
- ☐ Parliament
- ☐ Commercial banks

Answer: ☐ ☐ ☐ ☐



SECTION B: MULTIPLE CHOICE (continued)

Q25. Technology replacing workers (e.g., ATMs replacing bank tellers) creates:

[1.5 marks]

- ☐ Frictional unemployment
- ☐ Structural unemployment
- ☐ Cyclical unemployment
- ☐ Seasonal unemployment

Answer: ☐ ☐ ☐ ☐

Q26. If $MRS = 2$, the consumer is willing to give up:

[1.5 marks]

- ☐ 1 unit of Y for 1 unit of X
- ☐ 2 units of Y
- ☐ 0.5 units of Y
- ☐ Nothing

Answer: ☐ ☐ ☐ ☐

Q27. In the LONG RUN, perfectly competitive firms earn:

[1.5 marks]

- ☐ Zero economic profit
- ☐ Positive economic profit
- ☐ Negative profit (loss)
- ☐ Monopoly profit

Answer: ☐ ☐ ☐ ☐



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SECTION C: SHORT ANSWER

Answer in 3-5 sentences.

Q28. Explain the difference between GDP and GNP. (3 points)

[3 marks]

Q29. Name the TWO main macroeconomic policy instruments and who implements each. (3 points)

[3 marks]

Q30. Distinguish between MITIGATION and ADAPTATION as climate change responses. (3 points)

[3 marks]



END OF EXAMINATION

■ GOOD LUCK! ■

■ EXAM SUMMARY

SECTION A: TRUE OR FALSE Q1-Q8 8 marks

SECTION B: MULTIPLE CHOICE Q9-Q27 28.5 marks

SECTION C: SHORT ANSWER Q28-Q30 9 marks

TOTAL: 30 questions 30 marks

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